



Is the ceasefire a reset? Iran, the US and the Middle East they can't restore

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The US and Iran have announced a framework agreement to end hostilities, setting the stage for a formal signing in Switzerland and sending markets rallying with oil tumbling. This landmark deal, a potential "win" for the Trump administration, Iran's resilience, and Israel's strategic gains, redefines the Middle East landscape. However, the path ahead is complex: watch for implementation disagreements, Gulf states' security demands, and Iran's continued leverage over the Strait of Hormuz. We're also seeing accelerated UAE-Saudi tensions and a multipolarizing Gulf as China and Russia position themselves, marking a critical juncture for regional security and global energy markets.

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Context

On 14 June, the US and Iran announced a framework agreement to end hostilities, with a formal signing ceremony to take place on 19 June in Switzerland. Under the tentative agreement, the US would gradually lift its naval blockade on Iranian ports and relax sanctions/release frozen Iranian assets, in exchange for progress towards a technical agreement on Iran's nuclear programme. The agreement is meant to reopen the Strait of Hormuz and address the stickier questions of freedom of navigation through the Strait, Iran's nuclear programme, reconstruction, and sanctions relief among other issues.

Everyone "Wins"?

We have suggested since early March that President Trump would seek an off-ramp (see Thematic Research: The Persian Chessboard: Decoding Iran's Strategy Beyond a US "Victory") given the greater incremental gains for the US versus diminishing returns.

Despite only a framework agreement and the tremendous costs of military actions and the Iranian responses, the Trump administration can likely present a "mission accomplished" based on the extensive damage to Iran's military infrastructure, nuclear sites and air defences, a route to reopening the Strait of Hormuz, and a pathway to some nuclear agreement.

For the Iranians, Tehran's strategy of weaponizing regional and economic instability to make the conflict prohibitively expensive for its adversaries was largely successful (though much will depend on concessions to be made during the forthcoming negotiations). Nevertheless, the regime has demonstrated its resilience. For Israel, it was able to significantly harm Iran's military capabilities, address Iran's nuclear programme, and degrade Hezbollah's capabilities in Lebanon. This may provide President Netanyahu with a political boost in advance of competitive Israeli elections later this year.

What should we be watching next?

While markets are celebrating with significant rallies and oil tumbling to a three-month low, the reversion to the old Middle East status quo may take time to restore, if indeed that is possible.

What could derail the deal? There are many moving parts in negotiations and we should watch closely for disagreements over implementation (timelines, verification, etc.), Gulf states' requirements for security guarantees, and domestic political opposition from key parties. However, we assess that both the US and Iran are keen to press ahead with the framework agreement even if this doesn't lead to a full-scale peace agreement. A critical factor to watch will be the potential for Israeli aspirations in Lebanon to upend the deal. We suspect that there is significant US pressure on President Netanyahu to cease operations and accept the accrued gains to prevent a derailing of the deal.

Strait of Hormuz: Shipping isn't likely to be restored immediately given the challenges of de-mining, insurance premia remaining high, lack of trust until we see sustained stability over time, infrastructure repair to ports, terminals and regional energy infrastructure, and security guarantees. While Iran will probably be keen to



show goodwill, the Strait of Hormuz is its most important bargaining chip in negotiations – one that it will likely seek to protect. Whether any agreement on the Strait of Hormuz entails a “toll”, Iran's strategic leverage over the Strait could translate into long-term, persistent, albeit possibly intermittent, threats to navigation.

Why Iran may have won more than it lost: Despite significant military losses, Iran has demonstrated resilience through its military actions and a willingness to close the Strait of Hormuz. Crucially, the mere fact that the US came to the table validates Iran's long-standing insistence that it cannot simply be bombed into submission. Iran's ballistic missile programme remains and its proxy relationships with groups across the region, while weakened, have not been dismantled.

The regime that enters these negotiations is a harder one – the strikes killed many moderate figures – leaving a leadership cadre that appears more hawkish and defiant. In addition, surviving a confrontation with the US and Israel without surrendering also strengthens the regime's hand domestically. The deal's promises of potential sanctions relief and access to \$24 billion in frozen assets provides a much-needed economic lifeline to an Iranian government under severe financial pressure. For the broader Middle East, this sets an uncomfortable precedent for engagement with Iran in the longer term.

The New Middle East?

UAE-Saudi tensions: The conflict has exposed and accelerated fault lines between the UAE and Saudi Arabia that have simmered for years. The UAE's decision to withdraw from OPEC in May 2026, reportedly taken without prior consultation with Riyadh, is the most visible sign. This deepening rupture is driven not just by energy policy but also by broader strategic rivalries and competing visions for the region's future. We will be watching what that rivalry means for oil markets, regional security arrangements and Washington's ability to manage its Gulf alliances as a coherent bloc once the Iran crisis settles.

Gulf-US Relations: The Gulf states have responded cautiously but positively to the framework agreement, welcoming any steps that could reduce regional tension and improve stability. That said, we judge that they are keen to ensure that any lasting agreement entails enforceable security assurances and regional participation in future arrangements. In the aftermath of this crisis, Gulf ties with the US may be more complex, and we could see efforts toward greater economic and security diversification. Moreover, any outcome that leaves the Gulf states to deal with the consequences of a conflict that has already caused significant regional disruption would risk deepening existing fissures between the Gulf and the US and undermine confidence in long-term US commitments to regional security.

Multipolarizing the Gulf? Both China and Russia have welcomed the framework agreement. While Beijing has focussed on restoring stability in the Gulf and safeguarding international trade routes, Moscow has underscored respect for Iran's sovereignty and the importance of a negotiated political settlement. Both seem keen to ensure that any final settlement does not reinforce long-term US dominance in the Gulf. Indeed, both are benefiting from positioning themselves as defenders of international law and the post-WWII order, and may be able to make inroads with regional Gulf allies in the aftermath of the crisis, potentially at the US' expense.



Appendix 1

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